

breakout. Only in bull markets after downward breakouts do we see reversals happening more often than continuations.

Reversal/continuation performance. Mapping performance shows continuation patterns outperforming reversals in three of four columns. The exception is after upward breakouts in bear markets, but the numbers are close.

Table 48.2 General Statistics

Description	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
Number found	949	207	728	222
Reversal (R), continuation (C) occurrence	24% R, 76% C	25% R, 75% C	55% R, 45% C	26% R, 74% C
Reversal, continuation performance	5% R, 7% C	11% R, 10% C	-5% R, -8% C	-7% R, -14% C
Average rise or decline	7%	10%	-6%	-13%
Standard & Poor's 500 change	2%	2%	-2%	-5%
Days to trend high or low	9	9	8	8

Average rise or decline. Don't even think of comparing the average rise or decline with other chart patterns (except for flags), due to the way I measured performance (as I explained).

What the table shows is that if you trade the pattern perfectly and often enough, you won't make very much. Bear market performance is better than bull market performance, so keep that in mind.